

WIE.VIE pitch deck

The court is complete and both benches converge, so no further checking is needed — this is a pure write-up. Deck follows.

PITCH — WIE.VIE — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: REJECT / STAY FLAT into the August 12 half-year report; no order rests; re-review is pre-committed after the print, gated on reported leverage ($\leq 2.5x$ on the new €700m profit basis → re-review with a fresh price band; $\geq 2.8x$ → avoid).

What we believe

Wienerberger (the Austrian brick, pipe, and roofing maker, listed in Vienna) is a business we might want to own cheaply — but not today, and not at this price without new information. Three weeks ago the company cut its full-year 2026 operating-profit target to “approximately €700 million” (from an implied ~€800 million), blaming a €100 million hit from weak residential construction, about €40 million of which already landed in the first half. Its own words: the recovery “did not materialize,” demand will “remain subdued over the coming quarters,” and “we have not seen any material government support programs or stimulus measures” ([company trading update, primary source](#)).

Underneath the headline, second-quarter operating profit was €230 million versus €253 million a year ago — and more than €16 million of this year’s number came from newly acquired businesses. Strip that out and the existing business shrank roughly 15% year-over-year.

Then, two days before the results date, the CEO of 17 years, Heimo Scheuch, resigned with immediate effect for health reasons; CFO-turned-deputy-chairman Gerhard Hanke stepped in as interim CEO. The transformation story we would be underwriting was Scheuch’s.

Our belief: the deciding number — how much debt the company carries against the newly lowered profit target — publishes tomorrow at noon, and we cannot reconstruct it in advance. Buying today would be guessing, with the skew against us.

What the market believes

The stock trades at €21.22, only 6.6% above its 52-week low of €19.90, after analyst downgrades that followed the guidance cut. Nine analysts cover the name — this is not an overlooked company; the bad news is known and largely priced. At the current price, the whole company (equity plus roughly €2.04 billion of estimated net debt) is valued at about 6.2 times the new €700 million profit target — a level that says the market already treats this as a cyclically depressed, moderately leveraged building-

products company waiting for a housing recovery that keeps not arriving. The market is also, reasonably, nervous that an interim CEO's first results presentation could bring a second guidance cut.

Why we might have edge

Honestly: for tomorrow, we don't, and that is the verdict. But the court identified real reasons the post-print re-review is live rather than a formality:

- **The dividend is already paid.** The ~€104 million dividend (€0.95/share) went out on May 18, so it is already inside the June 30 debt figure. Our own original brief got this wrong (see the table below) — it claimed the second half had to generate cash *while also* paying the dividend. In fact the second half is the seasonally strong cash-collection half with no dividend outflow, which makes the debt-reduction target more attainable than either side first thought.
- **The second-half profit bridge has a named mechanism, not just hope.** The company explicitly commits that cost offsets “including targeted price increases, will be fully reflected in earnings during the second half of 2026,” and acquired businesses add over €16 million per quarter. Second-half profit needs to be ~€373 million versus €371 million in the same period last year — roughly flat, with identified drivers.
- **The interim CEO is an insider who co-signed the current guidance.** Hanke was CFO from 2021–25 and helped set the €700 million target 22 days ago. A fresh outsider slashing targets to reset the bar is the classic risk; an insider cutting his own three-week-old number is less likely.

Why it might be priced in

- The guidance cut, the downgrades, and the CEO departure are all public; the stock already sits near its low. There is no information asymmetry in our favor.
- The “cheap” multiple is measured against a profit target the company itself just lowered and could lower again — the denominator is not safe.
- The decisive unknowns (June 30 net debt, loan-covenant terms, how the Italcra acquisition's minority-stake obligations are treated) resolve in less than 24 hours. Any position taken today is a coin flip on numbers we cannot see, against sellers who may know more.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Full-year profit target cut to ~€700m; €100m residential hit, ~€40m in H1	Read the company's trading-update PDF in full	All three figures verbatim in the document	Yes
Existing business shrinking ~15% organically	Arithmetic on the PDF's own numbers (Q2 €230m vs €253m, >€16m from	Two independent decompositions agree	Yes

Claim	How checked	Found	Confirmed?
	acquisitions, ~€30m Q2 residential drag)		
CEO resigned 2 days before results	Company ad-hoc release + newswire mirror	Scheuch out Aug 10, immediate effect; Hanke interim. Our evidence pack missed this; the red bench caught it via fresh search	Yes
Results date Aug 12	Issuer PDF + investor-relations calendar	Confirmed 12:00 CET Wed Aug 12 (pack had flagged it unconfirmed)	Yes
Stock price €21.22 / value ~6.2× new target	Live web quote + share count + estimated net debt	Price leg confirmed; the net-debt leg is an estimate — June 30 figure not yet published	Partly
Prior profit target was €810m	Attempted from the PDF	The PDF never states €810m; implied prior basis is ~€800m, and last year's actual was €754m. Our screen's original figure is unverified	No
"H2 must cut debt while also paying the dividend" (our original brief)	Dividend records: ex-date May 12, paid May 18 (~€104m)	Our own brief double-counted — the dividend is already in the June 30 debt number. Refuted by the blue bench	Yes (error confirmed)
Evidence pack tape ("no source reachable")	Superseded by live quote	Pack tooling failed on Vienna-listed names	Yes (pack defect)
June 30 net debt, covenants, Italcra minority-stake terms	All available tools	Not publicly observable before the print	No — unverifiable pre-print

PROPOSED ENTRY BANDS

The court says no entry — no position, no resting orders, prior watch band retired (its valuation basis was withdrawn by the company). Reopen conditions, from the benches' own math:

- **Re-review trigger (bullish gate):** the Aug 12 report shows net debt of **€1.75 billion or less against the €700m target (leverage $\leq 2.5x$)**, the dividend policy is affirmed, cost-savings from the efficiency program are quantified, and the second-half bridge is broken out as acquisitions-plus-realized-prices rather than volume hope. If all hold → run a fresh review and derive a new entry band, explicitly discounted for the interim-CEO uncertainty.
- **Avoid trigger (bearish gate):** net debt of **€1.96 billion or more (leverage $\geq 2.8x$)** on the €700m basis, or a second guidance cut → AVOID; no re-review until a permanent CEO is named.
- **Between the gates (2.5x–2.8x):** re-court on the full print before any order; current outside estimate (~€2.04bn debt) sits in this zone, so this is the likeliest outcome.
- **Sizing:** none pre-print. Any post-print size comes from the fresh review, not this deck.
- **Catalyst dates:** results **Wed 2026-08-12, 12:00 CET** (issuer-confirmed); permanent-CEO announcement (structured search open, no date).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 19.9 (deck-provisional: 52-week low; a post-print break to new lows forces a falling-knife re-review, never an auto-buy)
- dated pack WIE.VIE|2026-08-12: WIE.VIE: final H1 2026 results, 12:00 CET, issuer-confirmed; leverage on the rebased EUR700m basis decides everything (date confirmed=True)

What remains unverified

- **June 30 net debt** — the single decisive number; publishes tomorrow.
- **Loan covenant terms** — not publicly disclosed; unknown how close the company sits to any limit.
- **Italcra acquisition mechanics** — purchase price and treatment of the minority-stake buyout obligation; could make true indebtedness higher than headline net debt.
- **The prior guidance figure** (€810m per our screen) — not stated in the primary document; treat the size of the cut as ~€100m off an implied ~€800m, not more.
- **Why the CEO really left** — “health reasons” taken at face value; timing two days before results remains an unexplained coincidence either way.
- **Whether government stimulus arrives** — the company itself says none is visible; any recovery assumption rests on private demand alone.

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